

## CASE STUDY #6 — DIGITAL

# Can ONDC Beat Amazon/Flipkart/Swiggy-Zomato?

*Data current as of July 2026. Sources: ONDC/PIB materials, NPCI/UPI statistics, CCI investigation coverage.*

## Introduction

UPI succeeded because it solved a real, painful, single problem — fragmented payment rails — at the right regulatory moment. Does ONDC have an equivalent forcing function, or is it a solution without a clear killer use case?

## Background

ONDC is not a shopping app — it is a set of open, government-incubated protocol specifications (built on the Beckn Protocol) letting independent buyer apps, seller apps, and logistics providers transact with each other, the same conceptual move UPI made for payments. It was incorporated as a Section 8 non-profit in December 2021 under DPIIT and launched publicly in April 2022, conceived as a structural remedy to CCI's antitrust concerns about Amazon and Flipkart's 25–40% platform commissions.

As of April 2025, ONDC had onboarded ~7.6 lakh sellers across 600+ cities, but the rigorous picture is weaker: retail orders peaked at 6.5 million/month in Oct 2024 then fell ~35% once subsidies were cut, only 1.16 lakh sellers were actually "live" as of December 2025 versus 700,000+ onboarded, and FY25 posted a net loss of ₹147.13 crore on revenue of just ₹33.41 crore. Amazon and Flipkart still command ~83% of Indian e-commerce, while quick commerce is the real growth frontier.

## Approach: Three Scenarios for How ONDC Could Gain Share

- **Scenario 1 — Vertical Focus:** concentrate on one or two categories with genuine traction (mobility, per the Namma Yatri success story) or structural cost advantage (hyperlocal kirana grocery), mirroring UPI's own playbook of winning one problem before expanding. Plausibility: medium-high.
- **Scenario 2 — Digital Public Utility for Underserved Segments:** reposition ONDC as infrastructure for segments private platforms underserve — rural producers, transit ticketing, sachetized financial products — rather than a head-on Amazon/Flipkart challenger. Plausibility: medium.
- **Scenario 3 — Protocol Devolution:** ONDC exits its operating role; the Beckn Protocol moves to an independent body for neutral governance, while government shifts to standard-setting and regulation instead of subsidies. Plausibility: medium-low near-term, but the most coherent long-run fix.

## Key Structural Challenges Observed

- Trust & grievance redressal: across multi-party transactions, "who do I call when my order is wrong?" has no clean answer the way it does on a vertically integrated platform.
- Buyer-app concentration and exit risk: demand depends on a handful of VC-funded apps whose own economics drive participation, as PhonePe's Pincode exit demonstrated.
- Governance conflicts: DigiHaat is simultaneously a network participant and a competitor to the private buyer apps ONDC needs to court.
- A market that moved on: quick commerce's dark-store model has become the real growth frontier, one a pure interoperability protocol can't easily replicate.

## Final Note

The UPI comparison mostly shows why commerce is structurally harder than payments, not why ONDC should follow a similar timeline. Four years of weak retail traction likely reflects both a timing problem (network effects in commerce take longer) and a design problem (breadth-over-depth strategy, governance conflicts, unstable protocol tooling) that money alone will not fix.

## Questions for Discussion

- What would a realistic forcing function for ONDC look like, and should government try to manufacture one via regulation rather than relying on organic adoption?
- Is Namma Yatri evidence that ONDC works, or evidence that a well-executed, commission-free app succeeded largely independent of ONDC's interoperability premise?
- As ONDC's CEO, would you double down on all verticals, focus on 1–2, or wind down the operating company and open-source the protocol?